The Wallet Persists

How the everyday accessory maintains its usefulness within our digitizing world

A Microcosm of Innovation

In an age where digital wallets and smartphones seem poised to replace physical accessories, one item remains firmly in our pockets: the wallet. Despite the rise of digital payments, the wallet adapts to new needs while preserving its role in our daily lives. Although newer technologies surpass the shortcomings of traditional wallets, the continued use of these humble vessels supports the notion that innovation is optional rather than progressive by highlighting consumer needs and power dynamics. So what makes this everyday object so indispensable, and what does its enduring presence say about our relationship with technology, identity, and security?

History of the Wallet

The history of the wallet evolved alongside human development, each iteration changing to provide utility dependent on the era. Akrich describes designs encouraging certain behavior for the wallet as "scripts." For example, prior to the advent of paper money in the 17th century, the personal accessory resembled a purse or pouch due to its core unit of storage being coins. Once the Chinese introduced paper banknotes, the leather bundled ancestors of the wallet became commonplace amongst merchants and traders. The shift of currency in this period resulted in a shift of the wallet script, from holding coin currency to paper currency. The practicality of the paper bills and thin leather wallets mirrored the rapid economic growth and widespread cultural exchange of the era. The 1670s saw the introduction of pockets into men's clothing across Europe, and men abandoned pouches and purses, instead opting for wallets. Contrary to the initial script of wallets, bills were not the only thing kept in the wallet of the everyday man; Visiting cards (like a social business card) were commonly held and distributed. Akrich calls user behavior like this "de-scription."

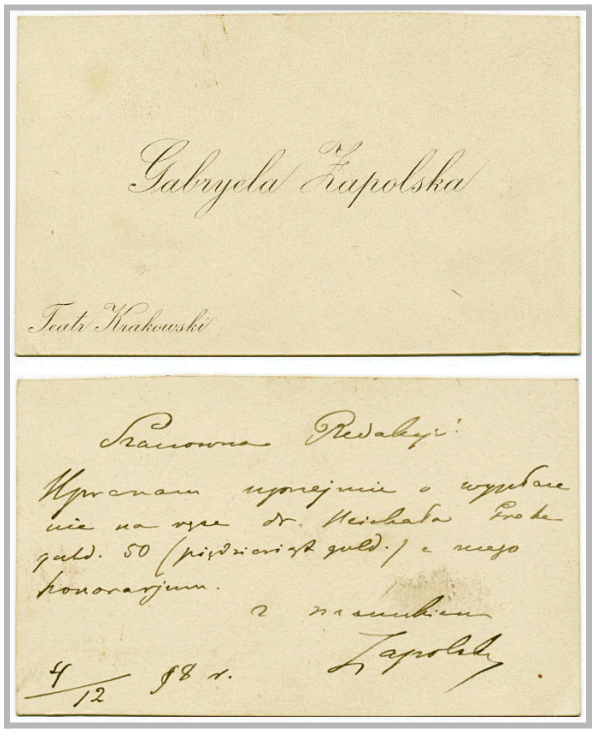


Fig. 1 *Calling cards kept in wallets, rather than banknotes or coins. Photographs also became common non-financial items for users to carry.*

Mass production of wallets began in the following century, ushered in by the Industrial Revolution. Various styles could

be efficiently produced, catering to the emerging middle-class tastes. Wallets became personal statements, showcasing one's aesthetic and utilitarian preferences. When financial institutions shifted payment options towards credit cards in the 1960s, the wallet adapted standardized card slots and RFID blocking materials to prevent fraud. Personal finance systems shifted again in 2014 when Apple introduced Apple Pay, a digital system that does not require cards or wallets. Large tech companies began encroaching on the territory of financial institutions, and have not stopped. They script these digital wallets as the next step in wallets, yet the wallet persists, refusing to be replaced by smartphones.

Digital Wallets

The tide certainly appears to be shifting in favor of digital wallets. Apple Pay, the most popular digital wallet worldwide (92% market share) has increased by 26.2% since 2020.

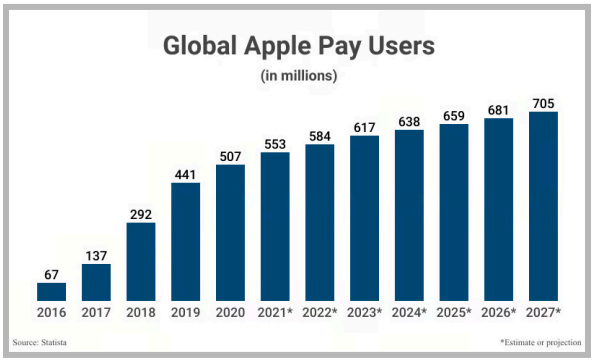


Fig. 2 *Apple Pay growth from 2016 to projected 2027 underscores the rising popularity of digital wallets*

Furthermore, new cash transfer apps pop up each year, fighting for a slice of the market that PayPal initially controlled. Perhaps the contactless payment mandates of the COVID pandemic era exacerbated these trends (Apple Pay users increased by 66 million globally), but it did not create them. COVID boosted (no pun intended) a shift that had already begun to occur, the shift from physical to digital. Furthermore, digital wallets are more secure than physical ones. The biosecurity measures required to access digital wallets eclipses the security (or lack of) in physical means. To view wallets solely from a financial perspective, however, will cause one to miss what they are really bringing to the table in the various systems they are interwoven into.

Wallets in Our Datafied World

The first reason for the longevity of the wallet begins in 1651 with Thomas Hobbes and an illustration he published in his book *Leviathan*. The illustration, depicting a massive humanoid entity composed of individual humans, represents Hobbes' idea of citizens sacrificing some autonomy in exchange for the protection and rights benefitted to them by the state and, more importantly, the state being composed of individuals and thus only as strong as its population. Michel Foucalt called this "biopower" – the power of a state based on the power of its population. Many nations of the 17th century sought to measure and maximize their biopower, conducting censuses and population surveys and ushering in a new paradigm of abstracting individuals to data points within a population. From this paradigm came identification cards, tools for keeping track of individuals. These IDs shaped the wallet by requiring contemporary credit and debit cards to be the same dimensions as

government-issued driver's licenses, standardizing pockets and folds to hold cards of those dimensions. In the interviews I conducted about wallet use, even the most digitally-favoring subjects noted the necessity to always carry some physical form of identification.

The Interviews

Due to the aforementioned necessity of identification, it came as no surprise that the interview subjects unanimously mentioned carrying ID. This agreement, however, manifested itself in dissonant forms from person to person. The most interesting observation was the contradiction of the most digitally-favoring subject also being the most traditional-wallet favoring, while the other two subjects reached an elegant synthesis between the technologies. These two subjects utilized a technology that combined the convenience of their phones with the flexibility of a traditional wallet. What they had were thin wallet pockets that they attached to the back of their phones to hold IDs and payment cards.



Fig. 3 *Phone case wallet sold by Casebus, an example of the phone-wallet blend preferred by Zhang and Lucas*

Both subject one, who I will refer to as Zhang, and subject two, who I will refer to as Lucas, gave the same reasoning for using this type of wallet: they only had to remember one thing, their phone. Zhang also added that they appreciate the comfort of only having one thing in their pocket, and Lucas admitted to easily misplacing things. A digital wallet would be able to fulfill all of these requirements, yet both subjects reported using physical payment cards more than their digital wallets, which they both had. They attested to having the digital wallet as a redundancy in case of a scenario where they wouldn't have access to their physical cards. In the case of subject two, who I will call Eleanor, this relationship between wallets is equalized. Where Zhang and Lucas treat their digital wallets as back-ups, Eleanor chooses whether or not to leave their physical wallet home based on where they plan on going. In this sense, Eleanor introduces an extra decision making

element into their life that Zhang and Lucas mitigate. Eleanor may decide to leave their physical wallet at home if they fear losing it on certain occasions, or may bring it along if they may need specific identifiers in the wallet. When required to carry ID, Eleanor opts for putting their ID in the back of their phone case, a technique that resembles Zhang and Lucas' method. Although it may rationally be the best option, Eleanor does not commit to Zhang and Lucas' method because of their emotional attachment to their wallet, an inheritance from their mother. Furthermore, Zhang and Lucas could also be said to not act rationally by choosing to carry physical cards relative to more secure options in digital cards. Kline and Pinch argue that users are key agents in the adoption and evolution of technology. The interview subjects are not just adopting digital wallets, but rather actively shaping how both technologies fit into their lives. The use of both physical cards and digital wallets by subjects reflects how they are blending old and new technologies to suit their needs, demonstrating agency in the decision-making process. Also, Eleanor's attachment to their family heirloom superseding its utility aligns with the social framework where technology is shaped by a broader cultural landscape.

Risk, Habits, Identity, Power

In identifying why newer technology fails or succeeds to replace antiquated methods, Mary Mercer and Christopher Peabody highlighted the RHIP framework in their investigation of why ER doctors still use pagers. Applying the RHIP framework to the adoption of digital wallets elucidates why they have yet to eclipse traditional wallets in popularity. First is the assessment of risk by users. Digital wallets have the upper hand in this category because of the heightened security infrastructure that they require in order to access. These features, however, are not well understood by the public. It is not uncommon for someone to feel more secure carrying their own cards than entrusting the security of them to the encryption of a third party. I will return to this security argument later. There is also the risk that one's phone runs out of battery in an emergency situation, leaving the digital wallet inaccessible. This risk, however, is ever-decreasing as phone batteries become more powerful and charging infrastructure is more commonplace. None of the interviews mentioned these risks, but they did mention the use of digital wallets as a risk mitigation via redundancy. The interviews also mentioned the habits of the subjects. Habits such as never leaving the house without one's phone support digital wallet use and phone wallet use. Forgetfulness, a bad habit but a habit nonetheless, also is remedied by digital and phone wallets. Only Eleanor mentioned the identity they tie to their wallet, that of a personal familial bond. The other two subjects were more utilitarian in their wallet choices. Finally, where I find power most at play within the wallet system is the shift in power from individuals to tech companies in the security of their information. When an individual has a physical card, they are responsible for ensuring it is not misappropriated. With digital wallets, however, the individual must rely on the cybersecurity of whichever tech company they hold the wallet through,

essentially making the individual powerless to prevent any malicious third parties and beholden to mathematics and algorithms that they cannot understand. While the odds are higher that a physical card is lost or stolen than a digital card is hacked, the sentiment held by individuals is to retain as much power over their own information as they can.

The Future of the Wallet

The digital wallet serves not as the inevitable successor to the traditional wallet, but as an additional option, offering convenience and security for those who embrace it. The enduring popularity of physical wallets highlights that innovation doesn't always lead to replacement, but rather coexistence, with consumers holding the power to choose what works best for them. As technology continues to integrate deeper into our lives – such as the digital IDs proposed in California – predicting what the future holds becomes increasingly unpredictable. Will we see a seamless blend of digital and analog systems, or might a backlash against the overreach of technology spark a revival of simpler, more tangible ways of living?